

Theory and Critique of Tort Law

Theories of tort law

□ Teleological (instrumental) theories of tort:

- Compensation-Deterrence
- Enterprise Liability
- Economic Deterrence

□ Deontic (intrinsic) theories of tort:

- Corrective Justice
- Rights Theory



Strengths of teleological theories



- ❑ Explain the prevalence of “policy” reasoning in tort cases
- ❑ Provide clear aims for tort law — maximise the given value
- ❑ Help justify tort’s imposition of costs on society by explaining the benefits for society
- ❑ Good explanations of some bits – e.g. vicarious liability or product liability

Weaknesses of teleological theories

- ❑ Struggle to explain the prevalence of “principled” reasoning
- ❑ Struggle to explain “individualised” features of tort law
- ❑ Tort always seems *not* to be the most efficient means of promoting any of the given values



Strengths of deontic theories



- ❑ Explain the prevalence of “principled” reasoning
- ❑ Explain tort on its own terms and provide intuitive explanations for “individualised” features of tort
- ❑ Good explanations of some bits – e.g. intentional torts

Weaknesses of deontic theories



- ❑ Struggle to explain the prevalence of “policy” reasoning
- ❑ Struggle to explain why costs imposed on society
- ❑ Struggle to explain lack of personal responsibility – e.g. insurance
- ❑ “Structural” rather than “substantive”, so can seem empty



Lord Sumption's Critique of Tort Law

The costs for society



- ❑ Personal injury claims are 1% of the UK's GDP
- ❑ Cost spread evenly across society by insurance and tax
- ❑ Legal/admin costs are 47% of personal injury claims
- ❑ Reduction in insurance capacity/withdrawal from markets

If the costs of tort fall on society at large, then tort should benefit society at large – it should maximise well-being



Does tort benefit society?

- ❑ Even distribution of costs, but uneven distribution of benefits — injury caused by another gets you lots, injury not caused by another gets you little
- ❑ Wealth is irrelevant to liability + compensation
- ❑ Lawyers and courts more expensive than social security
- ❑ No evidence showing deterrent effect because of insurance

Why do people approve of tort law if it does not benefit society?

Sumption thinks there are two reasons why most people instinctively approve of tort law:

1. people believe in the principle that 'he who causes injury must make it good'; and
2. people believe it is the proper function of the courts to find facts and distribute blame, for the satisfaction of the victims.

Negligence not morally culpable

- ❑ Negligence $\neq$ recklessness.
- ❑ Negligence = falling below the 'objective standard' imposed by law – the 'reasonable person'
- ❑ Objective standard $\neq$ moral concepts like blame and responsibility – e.g. near-strict liability in road traffic accidents

Negligence only justifiable by social utility

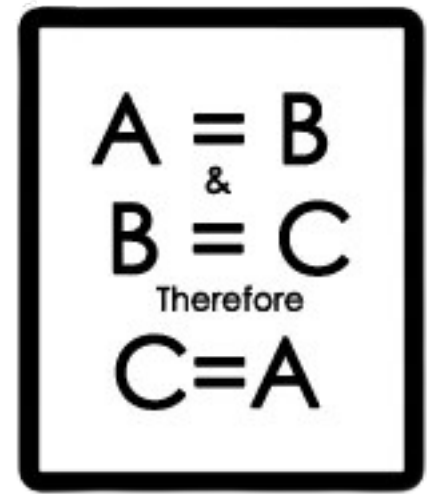


- If negligence is just a normal feature of human behaviour and not morally culpable, then it must be justified by social utility.
- “Yet the arbitrary results and incomplete coverage of a fault-based system, combined with its prodigious cost and unwelcome side-effects, seriously undermine the social utility of the law of tort as a way of dealing with personal injury.”



Defending Tort Law

Three ways of defending tort law



We might disagree with:

1. the premises;
2. the conclusions; or
3. the practicality of alternatives.

The premise: corrective justice not social utility



- ❑ Sumption says the objective standard isn't justified by notions like blame and responsibility, so it must be justified by "social utility".
- ❑ But what if there is another justification he hasn't considered?
- **Corrective justice**

The premise: corrective justice not social utility



- “If, for instance, a man is born hasty and awkward, is always having accidents and hurting himself or his neighbors, no doubt his congenital defects will be allowed for in the courts of heaven, but his slips are no less troublesome to his neighbors than if they sprang from guilty neglect.” (OW Holmes)

The premise: corrective justice not social utility



- “Unlike personal responsibility, which focuses on an agent, corrective justice is concerned with fairness in interactions between persons.”
- “According to corrective justice theory, the point of [the objective] standard is to judge the behaviour of the defendant, not in terms of the defendant’s talents, abilities, etc. (as would a subjective standard), nor in terms of the claimant’s interests alone (as would strict liability in these circumstances), but in terms of a standard fair as between the parties.”

(A Beever, ‘Corrective Justice and Personal Responsibility’)

The conclusions: does tort maximise utility?

- ❑ Tort still deters even with insurance — no claims bonus, insurers involved in increased safety, organisational liability still effective
- ❑ BUT...in reality, is it unarguable that tort genuinely achieves optimal deterrence by minimising the sum of: (i) the costs of accident prevention; (ii) the costs resulting from accidents; and (iii) the costs of administering the system.

The alternatives: compensation schemes

Two options for reform:

- (A) accident compensation schemes, and
- (B) compensation for all injuries, however caused.

Alternative (A): no-fault compensation schemes

- Benefit of (A) = removes 'fault-discrimination'

BUT...

- Downside of (A) = 'cause-discrimination'— accident victims still end up better off than people born with disability

Alternative (B): no-cause compensation schemes

Two options for alternative (B):

- (i) full compensation for all injuries; or
- (ii) equalising compensation for all injuries at lower level.

Neither is practical. The problem with (i) is that it is vastly too expensive. The problem with (ii) is that it strips rights from accident victims and is unlikely to have any support or win votes.